i. Some alone, but not all, of the subscribers get the prize amount without any liability to pay future subscriptions; or

ii. All the subscribers get the chit amount by turns with a liability to pay future subscriptions.

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1. The discussion here is based on the updated informations released by the ***RBI,*** May 11, 2012.
2. Based on the ***RBI Nationalisation Act, 1949*** and further announcements of the Government of India (MoF).
3. ***RBI Act, 1934,*** sub-section (1) of Section 42.
4. ***Annual Policy Statement 2010–11,*** RBI***,*** April 20, 2010, N. Delhi & *RBI* dated 17th March 2011.
5. ***Economic Survey, 2006–07,*** MoF, GoI, N. Delhi.
6. ***RBI (Amendment) Act,*** 2006, GoI, N. Delhi.
7. ***Credit and Monetary Policy,*** April 1, 2007, op. cit.
8. ***RBI Act, 1934*** and ***Banking Regulation Act, 1949*** Section 24.
9. ***Committee on Financial System*** (CFS) headed by the then RBI Deputy Governor M. Narasimhan, 1991.
10. Through an RBI announcement on 15th Feb. 2012.
11. Ibid
12. Stiglitz and Walsh, ***Economics,*** op. cit., p. 629–630.
13. ***Economic Survey 2001–02,*** MoF, GoI, N. Delhi.
14. The write-up is based on – the *RBI's Credit & Monetary Policy, 2011-12* (in which the Scheme was introduced); and the *European Central Bank*, Frankfurt, Germany and *Federal Reserve System* (also known as the *Federal Reserve*, and informally as the *Fed*) Washington, DC, USA
15. ***RBI Announcement,*** RBI, MoF, GoI, New Delhi, Feb. 15, 2012.
16. ***RBI Announcement,*** RBI, MoF, GoI, New Delhi, Apr.5, 2010.
17. As per the ***Strategic Disinvestment Statement of 1999,*** the Government had decided to cut its holding in them to 26 percent. The policy was put on hold once the UPA Government came to power.
18. Y.V. Reddy, ***Lectures on Economic and Financial Sector Reforms in India,*** Oxford U. Press, N. Delhi, 2002, pp. 137–57.
19. Repeated by the GoI many times i.e. the ***New Industrial Policy 1991; the Union Budget 1992–93; Eighth Five Year Plan (1992–97) Draft Approach;*** etc.
20. Announced by the Government while setting up the M. Narasimham ***Committee on Finacial System*** on August 14, 1991. See also ***India 2001,*** Pub. Div., GoI, N. Delhi.
21. The Narasimham Committee handed over its report in record time within 3 months after it was set up.
22. ***CFS,*** op. cit.